FUTUREPROOF FINANCIAL

Tax Discussion

United Kingdom — Equity Preservation Mortgage

March 2025

Stakeholder Tax Treatment & Regulatory Framework

Contents

1. Executive Summary

This document provides a comprehensive discussion of the tax treatment of the Equity Preservation Mortgage (EPM) product across all key stakeholders in **United Kingdom**. The EPM is a structured mortgage product that provides homeowners with a guaranteed monthly income stream funded by a combination of mortgage drawdowns and a structured investment portfolio (approximately 70% S&P 500 ETFs, 30% fixed income).

The core tax principle underpinning the EPM is that **mortgage drawdowns are not income**. The homeowner receives monthly payments that are structured as loan proceeds, not assessable income. This is a well-established principle in United Kingdom tax law. The investment portfolio is managed separately, with returns flowing through the payments waterfall to service the mortgage and protect homeowner equity.

This report covers the tax position of five stakeholder groups: (1) the Homeowner, (2) the Lender, (3) the Wholesale Funder, (4) the Investment Provider, and (5) the Broker / Referral Partner. For each stakeholder, we discuss the relevant tax treatment, reporting obligations, regulatory requirements, and key considerations.

Key Facts

Jurisdiction	United Kingdom
Currency	GBP (£)
Primary Regulator	Prudential Regulation Authority (PRA)
Conduct Regulator	Financial Conduct Authority (FCA)
Tax Authority	HM Revenue & Customs (HMRC)
Company Tax Rate	25% (profits >£250,000), 19% (small profits ≤£50,000), marginal relief between
VAT	20%

2. Regulatory Framework

The EPM operates within the regulatory framework of United Kingdom. Prudential supervision is provided by **Prudential Regulation Authority (PRA)**, while conduct regulation falls under **Financial Conduct Authority (FCA)**. The tax administration is overseen by **HM Revenue & Customs (HMRC)**.

Prudential Regulator	Prudential Regulation Authority (PRA)
Conduct Regulator	Financial Conduct Authority (FCA)
Tax Authority	HM Revenue & Customs (HMRC)
Financial Services Licensing	FCA authorisation required for regulated activities (lending, investment management, advice). Consumer Duty (from July 2023). Senior Managers & Certification Regime (SM&CR;).

3. Tax Environment Overview

This section provides an overview of the United Kingdom tax environment relevant to the EPM product structure and its stakeholders.

Personal Income Tax	0% (£0–£12,570 personal allowance), 20% (£12,571–£50,270), 40% (£50,271–£125,140), 45% (>£125,140). Personal allowance tapers above £100,000.
Company Tax	25% (profits >£250,000), 19% (small profits ≤£50,000), marginal relief between
Capital Gains Tax	CGT: 10%/20% (basic/higher rate) for non-residential assets. 18%/24% for residential property (from April 2024). Annual exemption £3,000 (2024/25).
VAT	20%
Withholding Tax	20% WHT on interest paid to non-residents (reduced by DTA, typically to 0%–15%). No WHT on dividends.
Stamp Duty / Transfer Tax	Stamp Duty Land Tax (SDLT): 0% (≤£250,000), 5% (£250,001–£925,000), 10% (£925,001–£1.5m), 12% (>£1.5m). 3% surcharge on additional properties.
Mortgage Interest Deductibility	Mortgage interest on residential buy-to-let: restricted to basic rate (20%) tax credit since April 2020. Owner-occupied home mortgage interest: NOT deductible. Commercial property interest: fully deductible against rental income.
Imputation / Franking	No imputation/franking system. Dividends taxed at dividend rates: 0% (£1,000 allowance 2024/25), 8.75% (basic), 33.75% (higher), 39.35% (additional rate).
Reporting Obligations	Self-Assessment tax return (31 January online deadline). Corporation Tax return (12 months after accounting period end). Making Tax Digital (MTD) for VAT and income tax.

Structural Tax Provisions

Fund / Trust Regime	Authorised contractual schemes (ACS) or authorised unit trusts (AUT). OEIC/unit trust taxed at 20% on non-dividend income. Exempt unauthorised unit trusts available for pension/charity investors.
Thin Capitalisation	Corporate Interest Restriction (CIR): net interest deduction limited to 30% of UK tax-EBITDA (or £2m de minimis). Group ratio election available.
Transfer Pricing	OECD arm's length standard. Country-by-country reporting (>€750m global revenue). Transfer pricing documentation required for material transactions.
Anti-Avoidance	General Anti-Abuse Rule (GAAR). Diverted Profits Tax (DPT) 25%. Targeted anti-avoidance rules (TAARs) for specific provisions.

Retirement / Pension System Implications

EPM annuity income is NOT pension income. Does not count toward annual allowance (£60,000) or lifetime allowance. State Pension: not affected by EPM. Pension credit (means-tested): EPM mortgage liability may reduce capital for means-testing purposes.

4. Homeowner Tax Treatment

The homeowner is the primary beneficiary of the EPM structure. They receive guaranteed monthly income while retaining full ownership of their property. The fundamental tax principle is that mortgage drawdowns are NOT assessable income in United Kingdom.

- EPM annuity payments are mortgage drawdowns — NOT taxable income
- No income tax, NICs, or PAYE obligations on EPM distributions
- Property remains in homeowner's name — no disposal for CGT purposes
- Principal Private Residence Relief (PPR) continues to apply — no CGT on main home
- SDLT NOT triggered (no property transfer occurs)
- Mortgage interest NOT deductible (owner-occupied residential property)
- Inheritance Tax (IHT): property value included in estate, but mortgage liability is a deductible debt
- Council Tax: no change — homeowner remains liable occupier
- State Pension/Pension Credit: EPM capital may affect means-tested benefits

5. Lender Tax Treatment

The lender originates and manages the EPM mortgage. Interest income on the mortgage is the primary revenue stream. The lender must comply with United Kingdom financial services licensing requirements and tax reporting obligations.

- Interest income is trading income subject to Corporation Tax (25%)
- Origination fees and arrangement fees are assessable income
- Bad debt relief under Corporation Tax Act 2009 Part 5 (loan relationships)
- Loan relationship rules: interest and related costs follow accounting treatment
- IFRS 9 ECL provisioning: tax deductions generally follow accounts (with adjustments)
- Corporate Interest Restriction (CIR): 30% of EBITDA cap on net interest deductions
- FCA-authorised: subject to Consumer Duty and responsible lending requirements
- VAT: financial services are exempt supplies — no VAT on interest (partial exemption for input VAT)

6. Wholesale Funder Tax Treatment

Wholesale funders provide the capital that backs the EPM lending programme. They earn returns through the funding margin (the spread between their cost of funds and the rate charged to the lender). Cross-border tax considerations are particularly relevant for this stakeholder group.

- Interest income is assessable under loan relationship rules
- If non-UK resident: 20% WHT on interest (reduced under DTA — often 0% for EU/treaty countries)
- Corporate Interest Restriction: 30% of UK tax-EBITDA or £2m de minimis
- Transfer pricing: arm's length requirement on inter-company interest rates
- Securitisation: Taxation of Securitisation Companies Regulations 2006 regime available
- Hybrid mismatch rules (TIOPA 2010 Part 6A): anti-avoidance on cross-border structures
- VAT: exempt financial supply — no VAT on interest
- BEPS Pillar 2 (global minimum tax 15%): may apply to large multinational groups

7. Investment Provider Tax Treatment

The investment provider manages the structured investment portfolio that underpins the EPM. The portfolio targets approximately 70% allocation to S&P 500 ETFs and 30% to fixed income instruments. Returns from this portfolio flow through the payments waterfall to service mortgage interest and protect homeowner equity.

- Portfolio: ~70% S&P; 500 ETFs, ~30% fixed income
- Authorised fund structure: OEIC or AUT taxed at 20% on non-dividend income, exempt on UK dividends
- Offshore fund (reporting fund status): gains taxed as capital gains for UK investors
- US ETF dividends: 15% US WHT under UK-US DTA; credit against UK tax
- Interest income: 20% at fund level (OEIC/AUT)
- Capital gains within authorised fund: generally exempt from CGT at fund level
- Equalisation payments on unit transactions ensure fair tax treatment
- Surplus distribution follows fund prospectus rules and payments waterfall

8. Broker / Referral Partner Tax Treatment

Brokers and referral partners earn commission income for originating EPM mortgages. They must be appropriately licensed and comply with United Kingdom regulatory requirements for mortgage advice and intermediation.

- Commission income is trading income subject to income tax or Corporation Tax
- Trail commissions: assessed on an arising basis per GAAP
- VAT: exempt financial intermediation — no VAT on mortgage brokerage commissions
- FCA authorised and subject to Consumer Duty
- Professional indemnity insurance costs deductible
- Firms subject to SM&CR; individual accountability rules
- Clawback provisions: adjustment to trading income in the period of clawback
- Money laundering regulations: customer due diligence and reporting obligations

9. Cross-Border Considerations

The EPM structure may involve cross-border elements, particularly where wholesale funding or investment management is provided by entities outside United Kingdom. Key cross-border tax considerations include:

- Withholding tax on interest payments to non-resident wholesale funders: 20% WHT on interest paid to non-residents (reduced by DTA, typically to 0%–15%). No WHT on dividends.
- Double Tax Agreement (DTA) network — treaty relief may reduce or eliminate WHT
- Transfer pricing documentation requirements for related-party cross-border transactions
- Thin capitalisation rules limiting interest deductions: Corporate Interest Restriction (CIR): net interest deduction limited to 30% of UK tax-EBITDA (or £2m de minimis). Group ratio election available.
- Permanent establishment (PE) risk — structuring to avoid inadvertent PE creation
- BEPS (Base Erosion and Profit Shifting) compliance — CbCR, transfer pricing, anti-hybrid rules
- Controlled Foreign Corporation (CFC) rules — may apply to offshore subsidiaries
- Foreign tax credit / offset mechanisms to prevent double taxation

10. Anti-Avoidance & Compliance

The EPM structure is designed to operate within the ordinary commercial framework of United Kingdom tax law. It does not rely on any aggressive tax planning, artificial arrangements, or tax avoidance strategies. The structure is transparent, documented, and commercially motivated.

Nevertheless, all participants should be aware of the anti-avoidance framework:

- General anti-avoidance rule: General Anti-Abuse Rule (GAAR). Diverted Profits Tax (DPT) 25%. Targeted anti-avoidance rules (TAARs) for specific provisions.
- Transfer pricing: OECD arm's length standard. Country-by-country reporting (>€750m global revenue). Transfer pricing documentation required for material transactions.
- Substance requirements — all entities must have genuine economic substance in their jurisdiction
- Commercial rationale — all arrangements must have a bona fide commercial purpose beyond tax
- Reporting: Self-Assessment tax return (31 January online deadline). Corporation Tax return (12 months after accounting period end). Making Tax Digital (MTD) for VAT and income tax.
- Penalties: significant penalties apply for non-compliance, including promoter penalties for tax schemes

11. Disclaimer

This document has been prepared by Futureproof Financial Group Limited for general information and discussion purposes only. It does not constitute tax advice, legal advice, financial advice, or any other form of professional advice.

Tax treatment depends on the individual circumstances of each stakeholder and may be subject to change in future. Tax law is complex and subject to interpretation by courts and tax authorities. The information in this document reflects the law as understood at the date of publication (March 2025) and may not reflect subsequent changes.

All stakeholders are strongly advised to seek independent professional tax advice specific to their individual circumstances before making any decisions based on the information contained in this document.

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